Economics - Undergraduate Level Assessment 18 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. When a good is taxed, the tax burden falls mainly on the consumer if
   (a) both demand and supply are perfectly elastic
   (b) the demand is elastic and the supply is inelastic
   (c) the demand is elastic and the supply is elastic
   (d) the demand is perfectly elastic and the supply is inelastic
   (e) the demand is unitary elastic and the supply is elastic

2. What are the effects an increase in the money supply on output on prices in the short run and in the long run?
   (a) Short run: increase in output, Long run: increase in general price level
   (b) Short run: decrease in output, Long run: no change in general price level
   (c) Short run: decrease in output, Long run: increase in general price level
   (d) Short run: increase in general price level, Long run: decrease in output
   (e) Short run: no change in output, Long run: increase in general price level

3. Does the principle of comparative advantage apply only to international trade?
   (a) No, it is a principle that applies only to consumer choice in the market.
   (b) No, it is only applicable to the exchange of services, not goods.
   (c) Yes, it specifically applies to trade agreements between neighboring countries.
   (d) No, it applies wherever productive units have different relative efficiencies.
   (e) Yes, it only applies to international trade.

4. How many parameters will be required to be estimated in total for all equations of a standard form, unrestricted, tri-variate VAR(4), ignoring the intercepts?
   (a) 6
   (b) 9
   (c) 16
   (d) 12
   (e) 4

5. Which component of a nation's balance of payments recognizes the purchase and sale of real and financial assets between nations?
   (a) The trade deficit account

(b) The goods and services account
(c) The official reserves account
(d) The surplus account
(e) The fiscal deficit account

True / False (10 marks)

Answer True or False

6. True or False: The acceleration principle ensures a constant rate of economic expansion without fluctuations.

7. True or False: The correct answer to 'Consider the following equation and determine the class of model that it best represents $y_{it} = \alpha + \beta_{it} + \mu_i + \nu_{it}$' is 'A pooled OLS model'.

8. True or False: Disposable income includes the total income before any deductions, including taxes and business expenses.

9. True or False: Production possibilities frontiers are concave to the origin because of the existence of fixed resources in the economy.

10. True or False: Monetarists stabilize economic fluctuations by stabilizing the growth rate of the money supply.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the role of self-interest in promoting efficiency within modern corporations. Can contemporary economists rely on this principle as Adam Smith did, and why or why not?

12. Discuss the relationship between national income and employment levels, explaining why an increase in national income may not always lead to higher employment.

End of Paper